Hon. Precision

7769.TW | Taiwan Stock Exchange | 2026-10-07

Q4 2027 model ceiling: TWD 4,911.70

Analytical Base 47/60 = 78 | Strong

20x forward-four-quarter IFRS operating profit after a dynamic minority-profit reserve, less gross financial claims, divided by end-window diluted ordinary shares. No surplus-cash or interest-income credit.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

All operating values are in TWD m and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Writing-date snapshot: TWD 5,885.00 per share (2026-10-07); 179.930 million common shares (2026-10-07); estimated equity capitalization TWD 1,058,888.1 million. TWSE October 7 close and current capital profile; June filing confirms treasury zero. Modeled potential compensation dilution is excluded from market capitalization. This dated common-share snapshot is separate from forecast diluted shares.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	44,324.2	20x	180.466	4,911.70

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

Economic scope and matching claims

Group product GP and fully expensed opex less a 0.1%-0.8% modeled OP reserve for the 40% outside ownership of the small component JV. Gross lease claims remain distinct from owner earnings.. 20x forward-four-quarter IFRS operating profit after a dynamic minority-profit reserve, less gross financial claims, divided by end-window diluted ordinary shares. No surplus-cash or interest-income credit.

Financial claims and diluted shares follow the company-specific schedule below. Debt, preferred and minority claims are counted once. All financial model tables use TWD m unless a different unit is stated.

Thesis

Research date: October 7, 2026. Security: HON. PRECISION, INC. (□□□□□□□□□□), Taiwan Stock Exchange 7769. Valuation currency: TWD. Financial figures are in TWD millions unless otherwise labeled. The active Q4 2027 model ceiling is approximately TWD 4,912 per share, using 20x forward-four-quarter fully expensed IFRS operating profit after minority claims, less financial claims, divided by diluted shares at the end of the valuation window. The analytical Base is 78/100. These are model outputs, not company guidance.

What Hon.Precision sells

Hon.Precision sells the equipment that moves packaged semiconductors through testing and keeps them at the required temperature while the tester exercises them. A final-test handler positions devices at the test interface, controls contact and temperature, and sorts tested parts. System-level test equipment takes devices through workloads that more closely resemble their intended system behavior. Fixtures, active thermal-control modules and service add recurring engineering content around the installed equipment.

This business occupies a narrower invoice boundary than the phrase AI testing implies. Hon.Precision does not receive the whole semiconductor tester invoice, the outsourced testing fee or the value of the chip. It sells its own qualified equipment, thermal subsystems and fixtures. In 2025, equipment represented 80.51% of revenue, fixtures 16.68% and other activities 2.81%. The company does not publish final-test versus system-level-test revenue, product gross margins or machine selling prices. Those splits in the forecast are explicitly modeled allocations.

The product is valuable because a test result requires more than sending electrical patterns into a device. Poor contact, device warpage, unstable temperature or uneven pressure can make the result unusable, damage expensive parts or reduce throughput. As packages become larger and more power intensive, thermal and mechanical control can determine how much useful testing a customer obtains from its tester investment. Hon.Precision's engineering opportunity is to sell a more capable configuration and retain the qualified equipment position across successive device generations.



Original issuer exhibit | Original issuer FT handler photograph. This machine family handles and thermally conditions devices for final test; the photo is not proof of 10 kW capability for every model.

The engineering bottleneck

The annual report describes direct-contact thermal control, microchannel-lid control, alignment and warpage-related development. Its roadmap progresses from systems rated above 3,000 W to above 4,000 W and above 6,000 W. The July presentation discusses approximately 10 kW active thermal-control shipments planned for October. These are dated product-family capabilities and plans. They are not proof that every handler dissipates 10 kW or that every AI processor consumes that power.

The technical distinction matters financially. Higher heat load can require better heat transfer, contact control, coolant handling, sensing and software. Larger packages can require stronger and more precise mechanics. A customer whose expensive tester sits idle because the handler cannot meet these requirements may pay for a qualified upgrade. However, the supplier also incurs more expensive materials, engineering, manufacturing and field support. The forecast retains only part of the conditional price/content increase as operating profit.

The annual report also lists high throughput, multiple parallel test sites, wide temperature ranges and high force capability across the product portfolio. These specifications belong to different configurations and conditions; they should not be combined into one imaginary machine operating at every maximum simultaneously. Likewise, the

company's visual-inspection capability is not automatically optical interconnect testing, and a fine-alignment specification from a different product does not establish the performance of a CPO test system. Official product families.



Original issuer exhibit | Original issuer temperature-control product image. The paid product is a thermal-control subsystem and its integration, rather than a data-center cooling installation.

3. Annual R&D Expenditures Over the Past Five Years

Unit: NTD thousand; %

Items	2021	2022	2023	2024	2025
R&D expenses	651,435	690,728	547,957	636,810	1,039,476
Operating revenue, net	12,291,915	13,469,491	9,489,437	13,992,344	30,270,625
As a percentage of net operating revenue	5.30%	5.13%	5.77%	4.55%	3.43%

4. Technologies or Products Successfully Developed in the Past Five Years

The Company specializes in the development and application of IC test handlers and integrated solutions for related equipment. Recent product developments are as follows:

Year	Name of Technology or Product
2021	16-Site Economic Normal/High-Temperature Logic Handler HT-9016C Series
	Tri-Temp Oven
	High-Power Water-Cooling Temperature Control Technology ATC3.5 Series
	192-Site SLTHT-3192 Series
2022	32-Site Logic Tri-Temperature IC Test Handler HT-1032 / HT-1032AT Series
	COF Bonding Test Handler HT-6000 Series
	High-Power Temperature Control Technology ATC Stark Series
2023	HT-2330 Tri-Temp FT Test Handler and Integrated High-Temp FT System
	Real-Time Pressure Measurement Module with Three-Point Load Cell Design
	Ultra-High Power (3000W+) Water-Cooling Temperature Control Technology ATC3.6 Series
2024	3000W or Above Liquid Cooling System (ATC3.6)
	Multi-Zone Independent Temperature Control Technology
	Built-in Output AOI System
2025	4000W or Above Liquid Cooling System (ATC5.5)
	Multi-Zone Independent Temperature Control Technology (Increased Zones)
	Warpage Overcoming Module
2026 to date	6000W or Above Liquid Cooling System (ATC3.7)
	ATC system for micro-channel lid
	CPO Optoelectronic Integrated Test Platform System

(IV) Short- and Long-Term Business Development Plans

1. Short-Term Business Development Plans

(1) Establish overseas subsidiaries to provide more timely and efficient services to international customers and expand business in new geographic regions.

(2) Continue talent recruitment and training to build a strong talent pool that supports the Company's stable growth.

(3) Leverage the Company's unique competitive advantages in semiconductor testing along with efficient after-sales service to strengthen customer loyalty.

(4) Participate in international organizations and present R&D achievements at exhibitions to enhance brand visibility and expand into global markets.

2. Medium- and Long-Term Business Development Plans

(1) Focus on proprietary technology development and patent strategies to deliver

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Original issuer exhibit | FY 2025 annual report, PDF page 82 / printed 78: product roadmap moves from 3,000 W+ to 4,000 W+ and 6,000 W+ systems. These are product-family specifications at different dates and conditions.

What the latest evidence establishes

The latest reviewed accounts cover June 30, 2026. The latest monthly sales are September, published in the exchange's domestic-company report. July sales of TWD 5,245.898m, August sales of 5,218.962m and September sales of 5,729.331m sum to TWD 16,194.191m. That is the Q3 revenue anchor. Q3 gross profit, expense and operating profit remain estimates because the quarterly accounts have not yet been released. Official September monthly revenue file.

The two latest distinct management presentations reviewed are May 12 and July 30. September conference material reuses the July deck and is not a separate guidance revision. The prepared slides show progress in thermal-control products, customer projects and optoelectronic equipment. A complete official Q&A transcript was unavailable, so secondary summaries are not presented as management quotations.

July's 77% AI/HPC/ASIC figure is an application mix of orders. It is neither a reported revenue segment nor an accepted backlog value. Similarly, the China final-test and system-level-test order-quantity growth figures refer to different pools. They cannot be added together or applied to the entire company. The model already contains substantial core growth before assigning any probability to additional execution or pricing benefits.



Original issuer exhibit | July 30 deck page 8:77% is application mix of orders, not a revenue segment or guaranteed accepted backlog.

Capacity and recognition timing

Management's 2027 plan calls for 50% additional nominal capacity: 15% from Desheng, 20% from localized China production and 15% from the existing headquarters. These contributions form one capacity plan. They are not three independent demand events. Production equipment, staff, materials, customer qualification and acceptance must all work before nominal capacity becomes recognized revenue.

The reference forecast rises from TWD 16.194bn quarterly sales in Q3 2026 to TWD 21.3bn in Q4 2027. On the model's disclosed equipment invoice equivalents, Q4 2027 reference output is about 31% above Q3 2026. Adding the successful qualification branch and the separate net optical-system opportunity brings that proxy to about 46% above the starting point, within the announced 50% nominal expansion. This is a consistency check, not a verified utilization forecast: actual machine mix, cycle times, bottleneck labor and saleable capacity are undisclosed.

The optoelectronic opportunity is earlier in its development. May's presentation discusses development; July says the INS4 OE program completed SOW and targets October shipments. The acronym is retained as supplied rather than expanded without evidence. A cleanroom laboratory and collaborations with test-equipment companies support technical progress. They do not disclose an accepted customer backlog, system price, optical yield or a broad production award. The relevant invoice remains Hon.Precision's equipment and fixtures, excluding the ATE instrument, laser, optical engine and customer chip.

The forecast assigns this commercial branch a 45% probability. Gross conditional revenue is TWD 1.4bn in 2027, 5.35bn in 2028, 10.1bn in 2029 and 12.6bn in 2030. Thirty percent is removed for overlap with generic equipment growth already in the reference. The resulting 2030 conditional incremental revenue of TWD 8.82bn corresponds to 196 annual system invoices at an assumed TWD 45m per system. Both the price and count are model proxies, not reported bookings. A 56% gross margin, 16% operating-expense burden and TWD 45m quarterly launch expense keep the commercial ramp costly and preserve negative early incremental profit.



Original issuer exhibit | July 30 deck page 9:2027 nominal capacity+50% and planned INS 4 OE October shipments. Three location contributions total 50%; they are not three independent demand shocks.



Original issuer exhibit | July 30 deck page 10: FT and SLT customer projects have different qualification stages. Approximately 10 kW ATC shipments are planned for October; no universal device power or customer identity is inferred.



Original issuer exhibit | May 12 deck page 9: earlier engineering status and cold-plate recognition at shipment. This verifies progression, not a second independent order event.

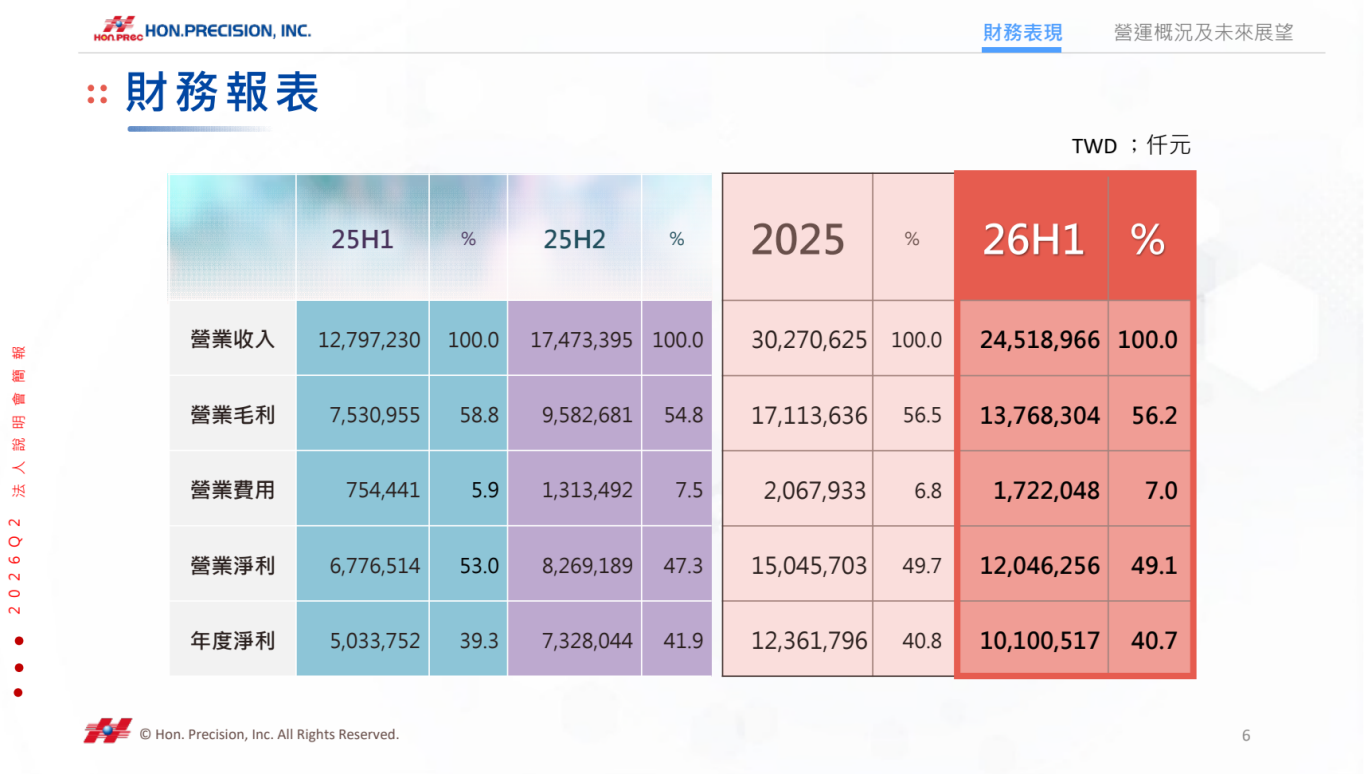
Financial calibration

The established economics are unusually strong. In 2025, revenue was TWD 30.271bn, gross profit 17.114bn, operating expense 2.068bn and operating profit 15.046bn. Q2 2026 revenue was 13.794bn, gross profit 7.737bn and operating profit 6.686bn. H1 revenue of 24.519bn and operating profit of 12.046bn imply a 49.13% operating margin. Those results establish the starting business; they do not guarantee similar margins after every capacity and product transition.

The July deck prints a 40.7% H1 net margin, but its own amounts and the reviewed accounts yield 41.19%. The analysis uses the amounts rather than carrying the arithmetic error forward. Historical operating expenses retain TWD 166.410m of treasury-transfer compensation. It is not added back merely because it is unusual. Future recurring stock compensation is reserved separately. Reviewed Q2 financial statements.

The reference model decomposes sales into final-test equipment, system-level-test equipment, fixtures and other activity. The respective equipment and fixture margins generally sit in the mid-to-high 50s, with a lower margin on other activity. System-level-test mix grows gradually. The allocations are calibrated around reported group results but are not disclosed segment margins. Invoice proxies of TWD 20m for a final-test system, 25m for a system-level-test system and 0.5m for a fixture expose the assumed commercial wallet without claiming those are actual selling prices.

Operating costs include R&D at 5% of reference sales, selling/service at 1.5%, administration at 1.6% plus a growing fixed amount, a credit-loss reserve and recurring stock compensation. Depreciation remains expensed inside gross profit and operating costs. It is added back only in the cashflow bridge, never in valuation operating profit. The active forecast produces sales of TWD 80.616bn in 2027, 99.699bn in 2028, 113.216bn in 2029 and 117.517bn in 2030. These are demanding assumptions, not an extrapolation sanctioned by management.



	25H1	%	25H2	%	2025	%	26H1	%
營業收入	12,797,230	100.0	17,473,395	100.0	30,270,625	100.0	24,518,966	100.0
營業毛利	7,530,955	58.8	9,582,681	54.8	17,113,636	56.5	13,768,304	56.2
營業費用	754,441	5.9	1,313,492	7.5	2,067,933	6.8	1,722,048	7.0
營業淨利	6,776,514	53.0	8,269,189	47.3	15,045,703	49.7	12,046,256	49.1
年度淨利	5,033,752	39.3	7,328,044	41.9	12,361,796	40.8	10,100,517	40.7

Original issuer exhibit | OriginalJuly 30 financial table. Amounts areTWD thousands; the printed 40.7% H 1 net margin is an arithmetic inconsistency, so analysis uses 41.19% from the displayed amounts and reviewed filing.

Probability-weighted economics and overlap

The qualified-ramp branch carries a 65% probability and adds accepted equipment sales above the growing reference. Its conditional increment reaches 10% during 2027, holds through 2028, then fades to 7.5% in 2029 and 4% in 2030. Incremental gross margin is 54% and incremental operating expense 8%, retaining 46% of sales as group operating profit before minority attribution.

A 25% delay state is mutually exclusive with that success state, leaving 10% reference execution. The delay state loses 10% of equipment revenue during 2027-2028, carries the associated lost gross profit and adds rework and support cost. It covers the same equipment pool once. It is not a second arbitrary reduction applied on top of a successful ramp.

The higher-power pricing/content branch carries a 55% probability. Only 40% of reference equipment revenue is eligible for new or revised terms. Its maximum conditional uplift is 8% during 2027-2028, fading afterward. Incremental gross-profit retention is 65% after extra thermal and material cost, while service and engineering consume another 8%. The price increment is not applied to extra ramp units, fixtures or the separate optical-system branch. This avoids charging the same customer program for capacity, utilization, price and mix repeatedly.

Removing all incremental breadcrumbs leaves the already aggressive reference and reduces the Q4 2027 ceiling to approximately TWD 4,677. A 10% sales shortfall at unchanged product margins and fixed operating expense

reduces the active ceiling to approximately TWD 4,323. A one-percentage-point gross-margin increase lifts it to approximately TWD 5,017. Those sensitivities show that preserving the established revenue base and margin is more important than assigning a very large value to the unqualified optical opportunity.

Competition and customer concentration

The annual report identifies competition from Cohu, Advantest and Chinese equipment suppliers including Changchuan and JHT. Qualification history, thermal performance, mechanical precision and field support can make substitution difficult. They do not prevent a customer from qualifying a second supplier, moving simpler work to a cheaper machine or postponing a platform transition. Competition can reduce both price and the time available to recover development cost.

The largest coded customer represented 31.21% of 2025 sales; the top three represented 59.92%. The report does not identify those customers publicly, so the model does not assign them guessed AI-chip names. Concentration creates acceptance, collection and negotiating risk. The historical cycle also matters: 2023 sales declined to approximately TWD 9.489bn from 13.469bn in 2022. Current demand does not erase cyclicality.

Headcount grew from 746 at the end of 2025 to 826 by March 2026, with R&D staff increasing from 267 to 287. This supports the existence of a real engineering expansion but does not prove sufficient trained production and field-service capacity for every forecast shipment. The reviewed accounts also carry a limited-scope qualification for small unreviewed subsidiaries, representing about 4% of assets and approximately 1% of H1 comprehensive income. That is a specific coverage limitation, not evidence of misconduct.

The main raw materials for the Company's products include motors, computers, and temperature control devices. The Company maintains strong supplier relationships and diversifies sourcing to ensure stability in material supply.

Name of Major Raw Material	Supply Status
Electromechanical and electronic components	Good
Transmission components	Good
Wiring, hardware, and material components	Good

(IV) List of Major Customers and Suppliers

1. Names, Purchase Amounts, and Ratios of Suppliers Accounting for Ten Percent or More of Total Purchases in Any of the Last Two Years: The Company's purchases are diversified. In the past two fiscal years and up to the date of this Annual Report, no single supplier has accounted for 10% or more of the Company's total purchases.
2. Names, Sales Amounts, and Ratios of Customers Accounting for Ten Percent or More of Total Sales in Any of the Last Two Years

Unit: NTD thousand

Items	2024				2025			
	Name	Amount	As a percentage of total annual net sales	Relationship with the issuer	Name	Amount	As a percentage of the full year Sales Percentage	Relationship with the issuer
1	Group A	1,919,201	13.72%	None	Group A	9,448,973	31.21%	None
2	Group B	2,909,683	20.79%	None	Group B	4,768,822	15.75%	None
3	Group C	1,339,284	9.57%	None	Group C	3,921,179	12.96%	None
—	Others	7,824,176	55.92%	—	Others	12,131,651	40.08%	—
—	Sales	13,992,344	100.00%	—	Sales	30,270,625	100.00%	—

Explanation of Changes: The increase in sales revenue in 2025 was due to growing demand for high-performance chips, which led to increased capital expenditures by customers.

III. Number of Employees, Average Years of Service, Average Age, and Education Level Distribution for the Past Two Years and as of the Date of the Annual Report

Unit: Persons; %

Year		2024	2025	As of March 31, 2026
Number of Employees	Managers	13	13	13
	Production Line Employees	62	105	139
	General Staff	448	628	674
	Total	523	746	826
Average Age (years)		38	36	36
Average Years of Service (years)		6.78	4.52	4.18
Education Level Distribution	Ph.D.	—	0.10%	0.40%
	Master's degree	14.90%	18.90%	18.30%
	Bachelor's (Associate) Degree	78.00%	74.80%	76.00%
	High School or Below	7.10%	6.20%	5.30%

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Original issuer exhibit | FY 2025 annual report, PDF page 89 / printed 85: the largest coded customer represents 31.21% of sales, and the top three 59.92%. Coded customers are not assigned guessed names.

Funding, shares and owner claims

June cash was TWD 52.690bn, with no bank or bond debt. Lease claims were TWD 89.649m. The cash balance needs context: payable cash distributions were TWD 11.694bn, including both earnings and capital surplus. The funding bridge pays the entire amount in Q3, together with the opening tax liability. It does not treat the smaller earnings-only dividend as the complete payment.

Working capital is a material use of cash. H1 operating cashflow was only TWD 2.611bn despite net income of TWD 10.101bn. Receivables and inventory increased, and customer advances declined. The forecast therefore reserves working capital against additional sales and assumes no convenient release of the large opening inventory. It also funds maintenance and expansion capex, cash taxes, lease payments and substantial subsequent dividends.

The Longshan project has a TWD 1.4bn total construction budget. The October TWD 331.674m electrical/mechanical contract sits inside that budget and is not added twice. Broader modeled capex also supports localization, laboratories and service capacity. Across the twelve coherent execution, pricing and optical outcomes, minimum modeled cash remains above TWD 40bn. A further severe sales and dividend stress retains

about TWD 30.2bn. No new borrowing or financing shares are needed under those assumptions. Cash is not added to the valuation, which remains an operating-profit ceiling with gross financial claims deducted.

Actual common shares are 179.930m. All 27,000 treasury shares were transferred in May and are already included; treasury is zero at June. An English note incorrectly states 183.300m new shares where the Chinese original and capital reconciliation show 18.330m. The forecast uses the reconciled total, adds the H1 potential-compensation reserve and then a modest assumed future compensation allowance. It uses end-window diluted shares and no exercise-cash credit.

Hon.Precision owns 60% of a small component joint venture. Current outside profit is negligible, but future activity is uncertain. The model deducts a visible owner-profit reserve rising from 0.1% to 0.8% of group operating profit, including proportional branch profits. It does not deduct 40% of the whole company's earnings. A material joint-venture ramp would require replacing that reserve with a separately attributed product-profit bridge.

	2025	2024
Legal reserve	$ 1,236,180	$ 528,593
Cash dividends	$ 9,894,665	$ 3,636,000
Cash dividend per share (NTD) (Note 1)	$ 54.9	$ 22.5

On June 15, 2026, the Annual General Meeting resolved to distribute cash of NTD 1,799,030 thousand from capital surplus, representing NTD 10 per share (Note 2).

Note 1: The treasury shares repurchased by the Company were transferred to employees in May 2026, whereas the treasury shares repurchased in April and May 2025 had not yet been transferred to employees, thereby affecting the number of outstanding ordinary shares. Accordingly, the cash dividends per ordinary share for 2025 and 2024 were adjusted to NTD 54.99174679 and NTD 22.50375991, respectively.

Note 2: The treasury shares repurchased by the Company were transferred to employees in May 2026, resulting in a change in the number of ordinary shares outstanding. Consequently, the adjusted cash dividend from capital surplus per share is NTD 9.99849942.

(IV) Treasury stock

Reasons for recovery	Transfer of shares to employees
January 1, 2025 thousand shares	-
Increase in the current period	27
June 30, 2025 thousand shares	27
January 1, 2026 thousand shares	27
Decrease for the period	(27)
June 30, 2026 thousand shares	-

Treasury shares held by the Company may not be pledged and are not entitled to dividend distributions or voting rights in accordance with the Securities and Exchange Act.

(V) Non-controlling interests

	The six months ended June 30, 2026
Beginning balance	$ -
Changes in non-controlling interests	80,000
Net profit for the current period	7
Closing balance	$ 80,007

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Original issuer exhibit | ReviewedJune 30 note 25: all 27,000 treasury shares were transferred in May; cash distributions include earnings and capital surplus. The 27,000 shares are already inside 179.930 m ordinary shares.

(III) Compensation of key management personnel

	Three Months Ended June 30		Six Months Ended June 30	
	2026	2025	2026	2025
Short-term employee benefits	$ 100,655	$ 44,928	$ 188,272	$ 89,021
Post-employment benefits	226	256	449	505
Other employee benefits	335	377	691	747
	$ 101,216	$ 45,561	$ 189,412	$ 90,273

Remuneration of directors and key management personnel is determined based on individual performance and market trends.

XXVII. Pledged Assets

The following assets have been provided as collateral for the Group's purchase payment:

	June 30, 2026	December 31, 2025	June 30, 2025
Pledged time deposits (recorded as financial assets at amortized cost)	$ 2,000	$ 2,000	$ 2,000

XXVIII. Significant Contingent Liability and Unrecognized Contractual Commitment

On June 15, 2026, the Board of Directors resolved to approve the construction of the Longshan Plant on the Company's own land. The total estimated construction budget is NTD 1.4 billion. As of the financial reporting date, the total amount of construction contracts signed was NTD 780,000 thousand.

XXIX. Significant Assets and Liabilities Denominated in Foreign Currencies

The information below is aggregated and presented in foreign currencies other than the functional currencies of the entities under the Group. The exchange rates disclosed refer to the rates at which these foreign currencies are converted to the functional currency. Significant assets and liabilities denominated in foreign currencies are as follows:

Original issuer exhibit | ReviewedJune 30 note 40: Longshan construction budgetTWD 1.4 bn withTWD 780 m then contracted. The October 331.674 m electrical/mechanical contract is within the existing total budget.

What would change the conclusion

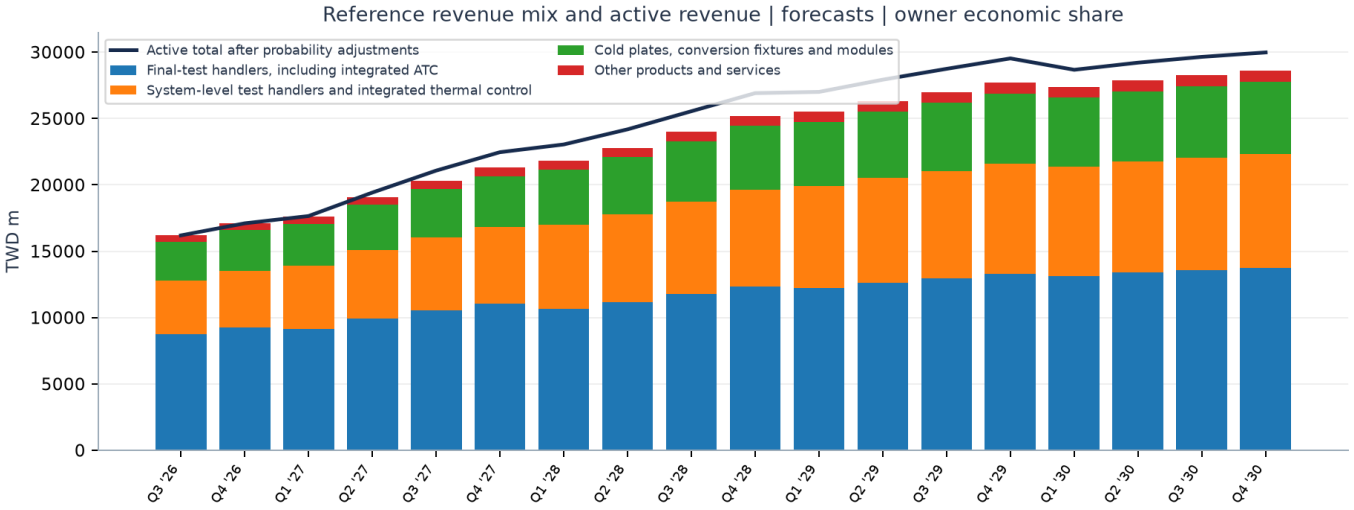
The strongest evidence would be customer acceptance of the October products, the conversion of the 2027 capacity plan into qualified throughput, a disclosed optical-system invoice or backlog, and cash conversion improving as inventory turns into delivered equipment. The most important negative evidence would be delayed acceptance, falling gross margin despite higher sales, inventory building faster than programs, a loss of concentrated customer work or lower-cost substitutes qualifying at the high end.

The Base of 78 reflects established profitability and differentiated engineering, strong current demand and specific capacity/product catalysts. It also penalizes concentration, rapid execution demands, limited commercial disclosure and cash conversion. The long-range model needs continued qualification and sustained margins; its precision should not be confused with certainty about either.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	17	Profitable direct-contact thermal-control and handler integration, qualified customer relationships and original IP; no proven monopoly.
Cycle	9	September monthly sales double year on year and customer-program expansion extends into 2027.
TAM	8	Higher power, parallel sites and optical/electrical qualification expand content, but paid wallet and later-year share remain uncertain.
Catalysts	5	October planned product shipments,2027 production expansion, Q 3 earnings and acceptance milestones.
Macro	8	AI/HPC and localization support demand; Taiwan/China policy and currency risks remain.
Alpha	4	Thermal control, warpage and acceptance economics expose more specific value capture than broad test-capex forecasts.
Risk classes	-4	Customer concentration, rapid capacity ramp, confidentiality, competition and cash conversion.
Total	47/60	Rounded Base 78. Both artifact and new workbook row use this score; this is not a manual override.

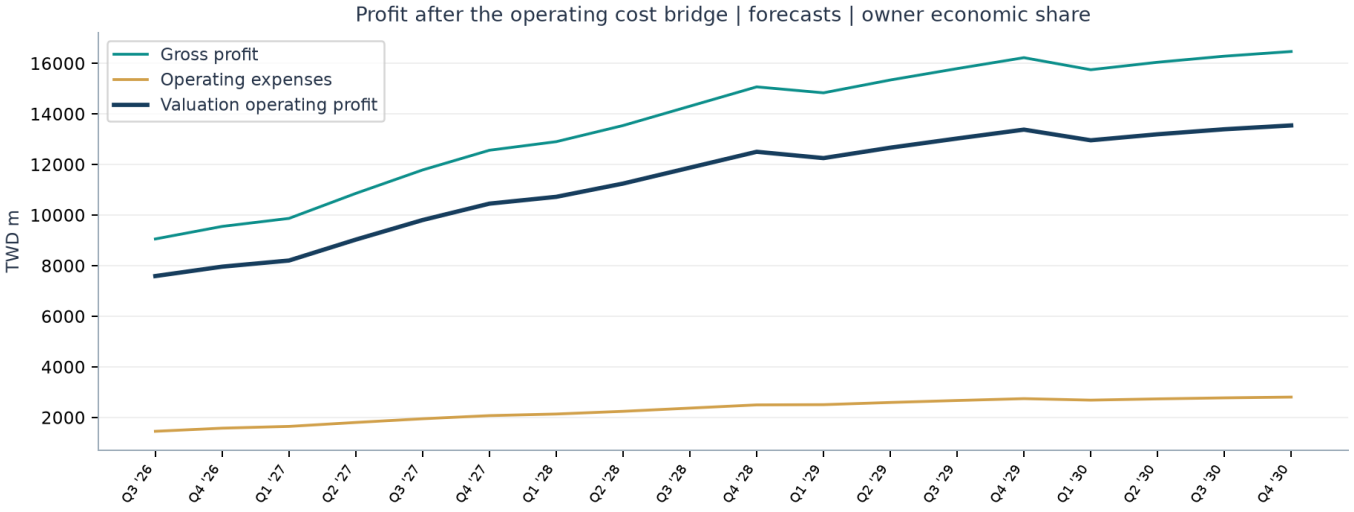
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	16,194.2	0.0	16,194.2
Q4 2026	17,100.0	3.6	17,103.6
Q1 2027	17,600.0	53.1	17,653.1
Q2 2027	19,100.0	321.6	19,421.6
Q3 2027	20,300.0	777.0	21,077.0
Q4 2027	21,300.0	1,164.5	22,464.5
Q1 2028	21,800.0	1,247.2	23,047.2
Q2 2028	22,800.0	1,386.6	24,186.6
Q3 2028	24,000.0	1,550.8	25,550.8
Q4 2028	25,200.0	1,714.9	26,914.9
Q1 2029	25,500.0	1,507.8	27,007.8
Q2 2029	26,300.0	1,628.9	27,928.9
Q3 2029	27,000.0	1,746.6	28,746.6
Q4 2029	27,700.0	1,832.8	29,532.8
Q1 2030	27,400.0	1,274.1	28,674.1
Q2 2030	27,900.0	1,311.6	29,211.6
Q3 2030	28,300.0	1,347.9	29,647.9
Q4 2030	28,600.0	1,383.0	29,983.0

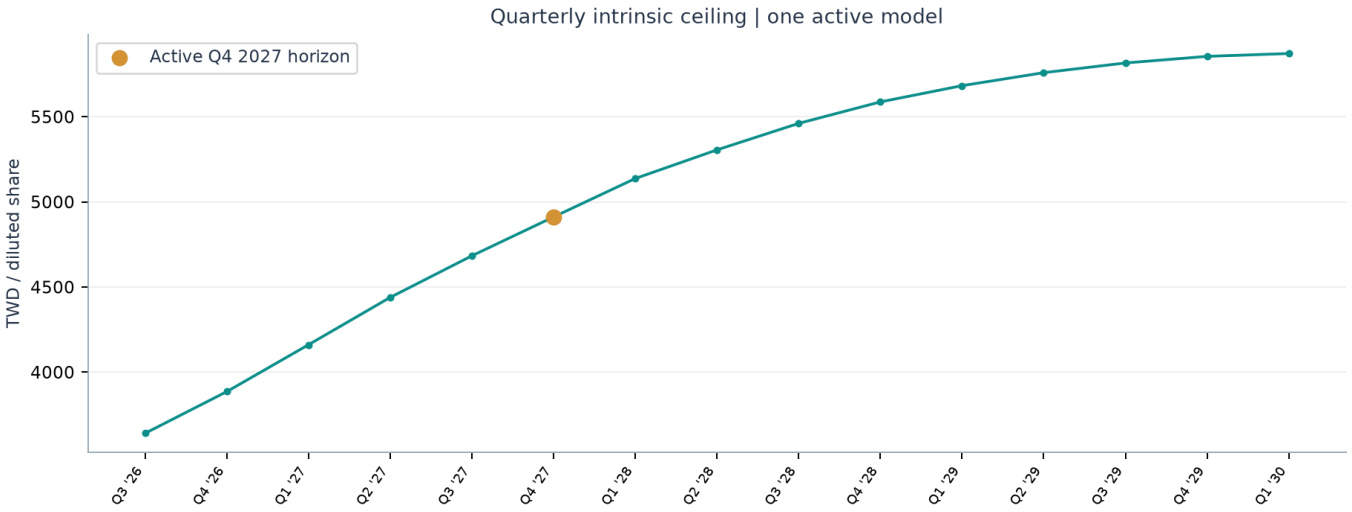
Gross profit, operating expenses and earnings



Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026	16,194.2	9,063.9	1,459.6	7,596.7	46.9%
Q4 2026	17,103.6	9,559.6	1,583.2	7,968.4	46.6%
Q1 2027	17,653.1	9,876.5	1,653.1	8,211.1	46.5%
Q2 2027	19,421.6	10,865.1	1,809.1	9,037.9	46.5%
Q3 2027	21,077.0	11,791.5	1,955.2	9,811.7	46.6%
Q4 2027	22,464.5	12,570.3	2,079.0	10,459.8	46.6%
Q1 2028	23,047.2	12,909.6	2,142.9	10,729.1	46.6%
Q2 2028	24,186.6	13,547.8	2,249.2	11,253.4	46.5%
Q3 2028	25,550.8	14,311.9	2,376.3	11,881.9	46.5%
Q4 2028	26,914.9	15,076.1	2,503.5	12,509.7	46.5%
Q1 2029	27,007.8	14,840.9	2,512.7	12,260.4	45.4%
Q2 2029	27,928.9	15,347.8	2,599.5	12,671.8	45.4%
Q3 2029	28,746.6	15,797.9	2,677.4	13,035.2	45.3%
Q4 2029	29,532.8	16,230.4	2,750.3	13,385.8	45.3%
Q1 2030	28,674.1	15,754.1	2,692.0	12,964.2	45.2%
Q2 2030	29,211.6	16,049.6	2,741.0	13,202.2	45.2%
Q3 2030	29,647.9	16,289.5	2,781.2	13,400.2	45.2%
Q4 2030	29,983.0	16,473.9	2,812.7	13,551.9	45.2%

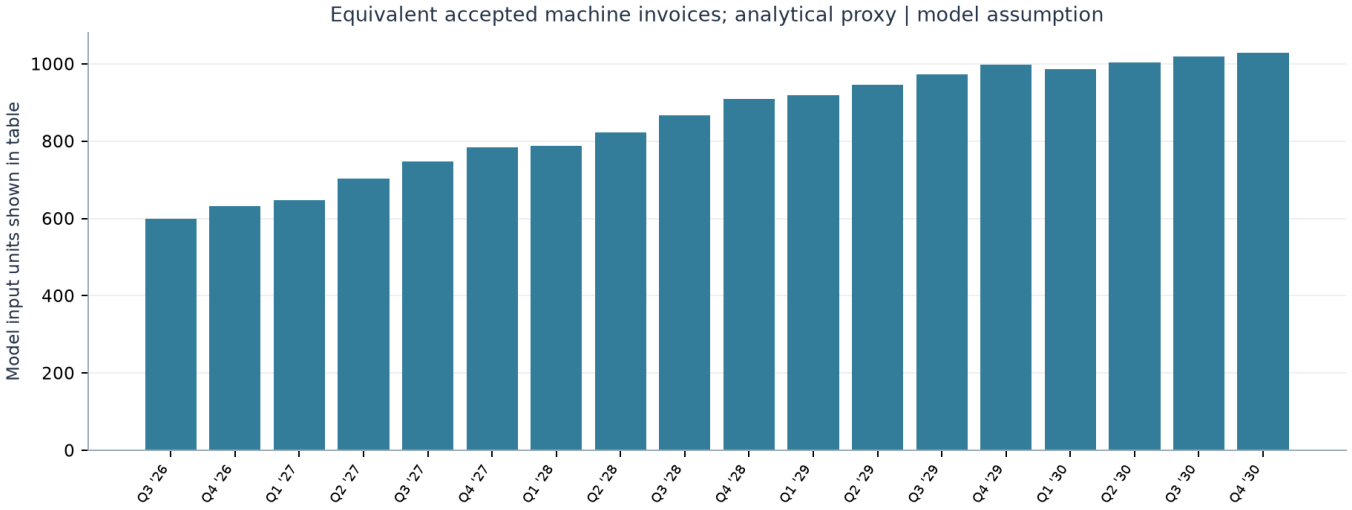
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Four-quarter earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 to Q2 2027	32,814.0	20x	180.216	3,641.14
Q4 2026	Q4 2026 to Q3 2027	35,029.0	20x	180.266	3,885.87
Q1 2027	Q1 2027 to Q4 2027	37,520.5	20x	180.316	4,161.14
Q2 2027	Q2 2027 to Q1 2028	40,038.5	20x	180.366	4,439.20
Q3 2027	Q3 2027 to Q2 2028	42,254.0	20x	180.416	4,683.57
Q4 2027	Q4 2027 to Q3 2028	44,324.2	20x	180.466	4,911.70
Q1 2028	Q1 2028 to Q4 2028	46,374.1	20x	180.516	5,137.46
Q2 2028	Q2 2028 to Q1 2029	47,905.5	20x	180.566	5,305.65
Q3 2028	Q3 2028 to Q2 2029	49,323.8	20x	180.616	5,461.23
Q4 2028	Q4 2028 to Q3 2029	50,477.1	20x	180.666	5,587.40
Q1 2029	Q1 2029 to Q4 2029	51,353.2	20x	180.716	5,682.81
Q2 2029	Q2 2029 to Q1 2030	52,057.0	20x	180.766	5,759.11
Q3 2029	Q3 2029 to Q2 2030	52,587.4	20x	180.816	5,816.18
Q4 2029	Q4 2029 to Q3 2030	52,952.4	20x	180.866	5,854.93
Q1 2030	Q1 2030 to Q4 2030	53,118.5	20x	180.916	5,871.68

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Equivalent accepted machine invoices; analytical proxy	Status
Q3 2026	599.185	Reported unaudited monthly revenue; modeled allocation and earnings
Q4 2026	632.700	Model assumptions, not issuer guidance
Q1 2027	647.680	Model assumptions, not issuer guidance
Q2 2027	702.880	Model assumptions, not issuer guidance
Q3 2027	747.040	Model assumptions, not issuer guidance
Q4 2027	783.840	Model assumptions, not issuer guidance
Q1 2028	786.980	Model assumptions, not issuer guidance
Q2 2028	823.080	Model assumptions, not issuer guidance
Q3 2028	866.400	Model assumptions, not issuer guidance
Q4 2028	909.720	Model assumptions, not issuer guidance
Q1 2029	918.000	Model assumptions, not issuer guidance
Q2 2029	946.800	Model assumptions, not issuer guidance
Q3 2029	972.000	Model assumptions, not issuer guidance
Q4 2029	997.200	Model assumptions, not issuer guidance
Q1 2030	986.400	Model assumptions, not issuer guidance
Q2 2030	1,004.400	Model assumptions, not issuer guidance
Q3 2030	1,018.800	Model assumptions, not issuer guidance
Q4 2030	1,029.600	Model assumptions, not issuer guidance

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	Final-test handlers, including integrated ATC	8,744.9	56.0%	4,897.1
Q3 2026	System-level test handlers and integrated thermal control	4,048.5	59.0%	2,388.6
Q3 2026	Cold plates, conversion fixtures and modules	2,915.0	56.0%	1,632.4
Q3 2026	Other products and services	485.8	30.0%	145.7
Q4 2026	Final-test handlers, including integrated ATC	9,234.0	56.0%	5,171.0
Q4 2026	System-level test handlers and integrated thermal control	4,275.0	59.0%	2,522.2
Q4 2026	Cold plates, conversion fixtures and modules	3,078.0	56.0%	1,723.7
Q4 2026	Other products and services	513.0	30.0%	153.9
Q1 2027	Final-test handlers, including integrated ATC	9,152.0	56.0%	5,125.1
Q1 2027	System-level test handlers and integrated thermal control	4,752.0	59.0%	2,803.7
Q1 2027	Cold plates, conversion fixtures and modules	3,168.0	56.0%	1,774.1
Q1 2027	Other products and services	528.0	30.0%	158.4
Q2 2027	Final-test handlers, including integrated ATC	9,932.0	56.0%	5,561.9
Q2 2027	System-level test handlers and integrated thermal control	5,157.0	59.0%	3,042.6
Q2 2027	Cold plates, conversion fixtures and modules	3,438.0	56.0%	1,925.3
Q2 2027	Other products and services	573.0	30.0%	171.9
Q3 2027	Final-test handlers, including integrated ATC	10,556.0	56.0%	5,911.4
Q3 2027	System-level test handlers and integrated thermal control	5,481.0	59.0%	3,233.8
Q3 2027	Cold plates, conversion fixtures and modules	3,654.0	56.0%	2,046.2
Q3 2027	Other products and services	609.0	30.0%	182.7

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q4 2027	Final-test handlers, including integrated ATC	11,076.0	56.0%	6,202.6
Q4 2027	System-level test handlers and integrated thermal control	5,751.0	59.0%	3,393.1
Q4 2027	Cold plates, conversion fixtures and modules	3,834.0	56.0%	2,147.0
Q4 2027	Other products and services	639.0	30.0%	191.7
Q1 2028	Final-test handlers, including integrated ATC	10,682.0	56.0%	5,981.9
Q1 2028	System-level test handlers and integrated thermal control	6,322.0	59.0%	3,730.0
Q1 2028	Cold plates, conversion fixtures and modules	4,142.0	56.0%	2,319.5
Q1 2028	Other products and services	654.0	30.0%	196.2
Q2 2028	Final-test handlers, including integrated ATC	11,172.0	56.0%	6,256.3
Q2 2028	System-level test handlers and integrated thermal control	6,612.0	59.0%	3,901.1
Q2 2028	Cold plates, conversion fixtures and modules	4,332.0	56.0%	2,425.9
Q2 2028	Other products and services	684.0	30.0%	205.2
Q3 2028	Final-test handlers, including integrated ATC	11,760.0	56.0%	6,585.6
Q3 2028	System-level test handlers and integrated thermal control	6,960.0	59.0%	4,106.4
Q3 2028	Cold plates, conversion fixtures and modules	4,560.0	56.0%	2,553.6
Q3 2028	Other products and services	720.0	30.0%	216.0
Q4 2028	Final-test handlers, including integrated ATC	12,348.0	56.0%	6,914.9
Q4 2028	System-level test handlers and integrated thermal control	7,308.0	59.0%	4,311.7
Q4 2028	Cold plates, conversion fixtures and modules	4,788.0	56.0%	2,681.3
Q4 2028	Other products and services	756.0	30.0%	226.8
Q1 2029	Final-test handlers, including integrated ATC	12,240.0	55.0%	6,732.0
Q1 2029	System-level test handlers and integrated thermal control	7,650.0	57.5%	4,398.8

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q1 2029	Cold plates, conversion fixtures and modules	4,845.0	55.0%	2,664.8
Q1 2029	Other products and services	765.0	30.0%	229.5
Q2 2029	Final-test handlers, including integrated ATC	12,624.0	55.0%	6,943.2
Q2 2029	System-level test handlers and integrated thermal control	7,890.0	57.5%	4,536.8
Q2 2029	Cold plates, conversion fixtures and modules	4,997.0	55.0%	2,748.4
Q2 2029	Other products and services	789.0	30.0%	236.7
Q3 2029	Final-test handlers, including integrated ATC	12,960.0	55.0%	7,128.0
Q3 2029	System-level test handlers and integrated thermal control	8,100.0	57.5%	4,657.5
Q3 2029	Cold plates, conversion fixtures and modules	5,130.0	55.0%	2,821.5
Q3 2029	Other products and services	810.0	30.0%	243.0
Q4 2029	Final-test handlers, including integrated ATC	13,296.0	55.0%	7,312.8
Q4 2029	System-level test handlers and integrated thermal control	8,310.0	57.5%	4,778.2
Q4 2029	Cold plates, conversion fixtures and modules	5,263.0	55.0%	2,894.7
Q4 2029	Other products and services	831.0	30.0%	249.3
Q1 2030	Final-test handlers, including integrated ATC	13,152.0	55.0%	7,233.6
Q1 2030	System-level test handlers and integrated thermal control	8,220.0	57.5%	4,726.5
Q1 2030	Cold plates, conversion fixtures and modules	5,206.0	55.0%	2,863.3
Q1 2030	Other products and services	822.0	30.0%	246.6
Q2 2030	Final-test handlers, including integrated ATC	13,392.0	55.0%	7,365.6
Q2 2030	System-level test handlers and integrated thermal control	8,370.0	57.5%	4,812.8
Q2 2030	Cold plates, conversion fixtures and modules	5,301.0	55.0%	2,915.6
Q2 2030	Other products and services	837.0	30.0%	251.1

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2030	Final-test handlers, including integrated ATC	13,584.0	55.0%	7,471.2
Q3 2030	System-level test handlers and integrated thermal control	8,490.0	57.5%	4,881.8
Q3 2030	Cold plates, conversion fixtures and modules	5,377.0	55.0%	2,957.4
Q3 2030	Other products and services	849.0	30.0%	254.7
Q4 2030	Final-test handlers, including integrated ATC	13,728.0	55.0%	7,550.4
Q4 2030	System-level test handlers and integrated thermal control	8,580.0	57.5%	4,933.5
Q4 2030	Cold plates, conversion fixtures and modules	5,434.0	55.0%	2,988.7
Q4 2030	Other products and services	858.0	30.0%	257.4

Operating-cost derivation

Quarter	Research and development, including engineering depreciation	Sales and customer service	Administration and regional infrastructure	Expected credit loss provision	Recurring share-based compensation reserve
Q3 2026	809.7	242.9	334.1	48.6	24.3
Q4 2026	855.0	256.5	348.6	51.3	25.7
Q1 2027	880.0	264.0	364.1	52.8	26.4
Q2 2027	955.0	286.5	388.1	57.3	28.7
Q3 2027	1,015.0	304.5	407.3	60.9	30.4
Q4 2027	1,065.0	319.5	423.3	63.9	31.9
Q1 2028	1,090.0	327.0	439.6	65.4	32.7
Q2 2028	1,140.0	342.0	455.6	68.4	34.2
Q3 2028	1,200.0	360.0	474.8	72.0	36.0
Q4 2028	1,260.0	378.0	493.9	75.6	37.8
Q1 2029	1,275.0	382.5	507.8	76.5	38.2
Q2 2029	1,315.0	394.5	520.6	78.9	39.5
Q3 2029	1,350.0	405.0	531.8	81.0	40.5
Q4 2029	1,385.0	415.5	543.0	83.1	41.6
Q1 2030	1,370.0	411.0	548.2	82.2	41.1
Q2 2030	1,395.0	418.5	556.2	83.7	41.9
Q3 2030	1,415.0	424.5	562.6	84.9	42.5
Q4 2030	1,430.0	429.0	567.4	85.8	42.9

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Weighted OP below is after the stated minority operating-profit attribution. Conditional gross profit and expenses remain consolidated figures.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	QUALIFIED RAMP	65%	0.0	0.0	0.0	0.0
Q3 2026	HIGH POWER TERMS	55%	0.0	0.0	0.0	0.0
Q3 2026	OPTOELECTRONIC	45%	0.0	0.0	0.0	0.0
Q3 2026	DELAY	25%	-0.0	-0.0	0.0	-0.0
Q4 2026	QUALIFIED RAMP	65%	135.1	72.9	10.8	40.4
Q4 2026	HIGH POWER TERMS	55%	108.1	70.2	8.6	33.8
Q4 2026	OPTOELECTRONIC	45%	56.0	31.4	54.0	-10.2
Q4 2026	DELAY	25%	-675.5	-445.8	40.5	-121.5
Q1 2027	QUALIFIED RAMP	65%	417.1	225.2	33.4	124.5
Q1 2027	HIGH POWER TERMS	55%	166.8	108.5	13.3	52.2
Q1 2027	OPTOELECTRONIC	45%	84.0	47.0	58.4	-5.1
Q1 2027	DELAY	25%	-1,390.4	-848.1	41.7	-222.1
Q2 2027	QUALIFIED RAMP	65%	754.5	407.4	60.4	225.1
Q2 2027	HIGH POWER TERMS	55%	241.4	156.9	19.3	75.5
Q2 2027	OPTOELECTRONIC	45%	168.0	94.1	71.9	10.0
Q2 2027	DELAY	25%	-1,508.9	-920.4	45.3	-240.9
Q3 2027	QUALIFIED RAMP	65%	1,283.0	692.8	102.6	382.6
Q3 2027	HIGH POWER TERMS	55%	384.9	250.2	30.8	120.4
Q3 2027	OPTOELECTRONIC	45%	294.0	164.6	92.0	32.6
Q3 2027	DELAY	25%	-1,603.7	-978.3	48.1	-256.0
Q4 2027	QUALIFIED RAMP	65%	1,682.7	908.7	134.6	501.6
Q4 2027	HIGH POWER TERMS	55%	538.5	350.0	43.1	168.3
Q4 2027	OPTOELECTRONIC	45%	434.0	243.0	114.4	57.7
Q4 2027	DELAY	25%	-1,682.7	-1,026.4	50.5	-268.4
Q1 2028	QUALIFIED RAMP	65%	1,700.4	918.2	136.0	506.6
Q1 2028	HIGH POWER TERMS	55%	544.1	353.7	43.5	170.0
Q1 2028	OPTOELECTRONIC	45%	595.0	333.2	140.2	86.5

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q1 2028	DELAY	25%	-1,700.4	-1,037.2	51.0	-271.1
Q2 2028	QUALIFIED RAMP	65%	1,778.4	960.3	142.3	529.6
Q2 2028	HIGH POWER TERMS	55%	569.1	369.9	45.5	177.7
Q2 2028	OPTOELECTRONIC	45%	805.0	450.8	173.8	124.2
Q2 2028	DELAY	25%	-1,778.4	-1,084.8	53.4	-283.4
Q3 2028	QUALIFIED RAMP	65%	1,872.0	1,010.9	149.8	557.2
Q3 2028	HIGH POWER TERMS	55%	599.0	389.4	47.9	187.0
Q3 2028	OPTOELECTRONIC	45%	1,050.0	588.0	213.0	168.0
Q3 2028	DELAY	25%	-1,872.0	-1,141.9	56.2	-298.2
Q4 2028	QUALIFIED RAMP	65%	1,965.6	1,061.4	157.2	584.8
Q4 2028	HIGH POWER TERMS	55%	629.0	408.8	50.3	196.2
Q4 2028	OPTOELECTRONIC	45%	1,295.0	725.2	252.2	211.8
Q4 2028	DELAY	25%	-1,965.6	-1,199.0	59.0	-312.9
Q1 2029	QUALIFIED RAMP	65%	1,491.8	805.5	119.3	443.6
Q1 2029	HIGH POWER TERMS	55%	318.2	206.9	25.5	99.2
Q1 2029	OPTOELECTRONIC	45%	1,470.0	823.2	280.2	243.0
Q1 2029	DELAY	25%	-1,193.4	-767.8	59.7	-205.7
Q2 2029	QUALIFIED RAMP	65%	1,538.5	830.8	123.1	457.3
Q2 2029	HIGH POWER TERMS	55%	328.2	213.3	26.3	102.3
Q2 2029	OPTOELECTRONIC	45%	1,680.0	940.8	313.8	280.5
Q2 2029	DELAY	25%	-1,230.8	-791.8	61.5	-212.1
Q3 2029	QUALIFIED RAMP	65%	1,579.5	852.9	126.4	469.2
Q3 2029	HIGH POWER TERMS	55%	337.0	219.0	27.0	105.0
Q3 2029	OPTOELECTRONIC	45%	1,890.0	1,058.4	347.4	317.9
Q3 2029	DELAY	25%	-1,263.6	-812.9	63.2	-217.6
Q4 2029	QUALIFIED RAMP	65%	1,620.5	875.0	129.6	481.1
Q4 2029	HIGH POWER TERMS	55%	345.7	224.7	27.7	107.6
Q4 2029	OPTOELECTRONIC	45%	2,030.0	1,136.8	369.8	342.7
Q4 2029	DELAY	25%	-1,296.4	-834.0	64.8	-223.1
Q1 2030	QUALIFIED RAMP	65%	854.9	461.6	68.4	253.7
Q1 2030	HIGH POWER TERMS	55%	171.0	111.1	13.7	53.2

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q1 2030	OPTOELECTRONIC	45%	2,100.0	1,176.0	381.0	355.1
Q1 2030	DELAY	25%	-1,282.3	-825.0	64.1	-220.6
Q2 2030	QUALIFIED RAMP	65%	870.5	470.1	69.6	258.2
Q2 2030	HIGH POWER TERMS	55%	174.1	113.2	13.9	54.1
Q2 2030	OPTOELECTRONIC	45%	2,170.0	1,215.2	392.2	367.4
Q2 2030	DELAY	25%	-1,305.7	-840.0	65.3	-224.5
Q3 2030	QUALIFIED RAMP	65%	883.0	476.8	70.6	261.9
Q3 2030	HIGH POWER TERMS	55%	176.6	114.8	14.1	54.9
Q3 2030	OPTOELECTRONIC	45%	2,240.0	1,254.4	403.4	379.9
Q3 2030	DELAY	25%	-1,324.4	-852.1	66.2	-227.7
Q4 2030	QUALIFIED RAMP	65%	892.3	481.9	71.4	264.7
Q4 2030	HIGH POWER TERMS	55%	178.5	116.0	14.3	55.5
Q4 2030	OPTOELECTRONIC	45%	2,310.0	1,293.6	414.6	392.4
Q4 2030	DELAY	25%	-1,338.5	-861.1	66.9	-230.1

Consolidated profit to the common shareholder claim

Minority attribution is an earnings allocation, not operating expense or a fixed book-value deduction. Its rate is a disclosed model proxy and moves with reference profit and each probability-weighted change.

Quarter	Consolidated OP	Minority rate	Minority allocation	Owner OP
Q3 2026	7,604.3	0.1%	7.6	7,596.7
Q4 2026	7,976.3	0.1%	8.0	7,968.4
Q1 2027	8,223.4	0.1%	12.3	8,211.1
Q2 2027	9,056.0	0.2%	18.1	9,037.9
Q3 2027	9,836.3	0.2%	24.6	9,811.7
Q4 2027	10,491.3	0.3%	31.5	10,459.8
Q1 2028	10,766.8	0.4%	37.7	10,729.1
Q2 2028	11,298.6	0.4%	45.2	11,253.4
Q3 2028	11,935.6	0.5%	53.7	11,881.9
Q4 2028	12,572.6	0.5%	62.9	12,509.7
Q1 2029	12,328.2	0.6%	67.8	12,260.4
Q2 2029	12,748.3	0.6%	76.5	12,671.8
Q3 2029	13,120.5	0.7%	85.3	13,035.2
Q4 2029	13,480.2	0.7%	94.4	13,385.8
Q1 2030	13,062.2	0.8%	98.0	12,964.2
Q2 2030	13,308.6	0.8%	106.5	13,202.2
Q3 2030	13,508.3	0.8%	108.1	13,400.2
Q4 2030	13,661.2	0.8%	109.3	13,551.9

Enterprise-to-equity reconciliation

20x forward-four-quarter IFRS operating profit after a dynamic minority-profit reserve, less gross financial claims, divided by end-window diluted ordinary shares. No surplus-cash or interest-income credit.

Quarter	Reference claims	Weighted change	Total claims	Ceiling / share
Q3 2026	89.6	0.0	89.6	3,641.14
Q4 2026	89.6	0.0	89.6	3,885.87
Q1 2027	89.6	0.0	89.6	4,161.14
Q2 2027	89.6	0.0	89.6	4,439.20
Q3 2027	89.6	0.0	89.6	4,683.57
Q4 2027	89.6	0.0	89.6	4,911.70
Q1 2028	89.6	0.0	89.6	5,137.46
Q2 2028	89.6	0.0	89.6	5,305.65
Q3 2028	89.6	0.0	89.6	5,461.23
Q4 2028	89.6	0.0	89.6	5,587.40
Q1 2029	89.6	0.0	89.6	5,682.81
Q2 2029	89.6	0.0	89.6	5,759.11
Q3 2029	89.6	0.0	89.6	5,816.18
Q4 2029	89.6	0.0	89.6	5,854.93
Q1 2030	89.6	0.0	89.6	5,871.68
Q2 2030	89.6	0.0	89.6	-
Q3 2030	89.6	0.0	89.6	-
Q4 2030	89.6	0.0	89.6	-

Claim decisions, overlap and triggers

QUALIFIED_RAMP

source: July 30 deck pages 9-10; latest monthly sales

classification: Guidance plus model assumption

probability: 0.65

Conditional: Additional accepted FT/SLT sales above the growing reference:1% Q 4 2026,3/5/8/10% during 2027;10% in 2028;7.5% in 2029;4% in 2030.

overlap: The reference already reaches TWD 78.3 bn sales in 2027 and includes most announced capacity. This branch uses remaining qualified headroom. It is mutually exclusive with the 25% delay branch, leaving 10% reference execution.

cost bridge: Incremental revenue earns 54% gross margin and 8% operating expense, retaining 46% group OP before the small minority reserve.

timing: Recognition follows accepted machines and service readiness, not floor-area completion.

duration: Fade after 2028 for capacity response and competition.

why not one: 2027 capacity+50% is a plan; no accepted backlog value, yields or model-specific throughput disclosure.

HIGH_POWER_TERMS

source: Annual report direct-contact ATC and July 30 ~10 kW shipment plan

classification: Pricing and content inference, not an announced blanket hike

probability: 0.55

Conditional: 2% price/content uplift in Q 4 2026,3/4/6/8% in 2027 and 8% in 2028, then 4%/2% in 2029/30. Only 40% of reference equipment revenue is eligible.

overlap: Same new/repriceable equipment pool; no price uplift on the additional ramp units, cold plates or separately modeled optical systems. No separate operating-leverage increment.

cost bridge: 65% incremental gross-profit retention after added thermal/material costs;8% service and engineering expense;57% group OP capture.

timing: Shipment and acceptance of higher-power configured systems. Fixed legacy prices are outside the 40% eligible pool.

bound: Maximum 8% conditional uplift on 40% of equipment, not an unsupported 20% company-wide ASP claim.

OPTOELECTRONIC

source: May 12 INS 4 OE development; July 30 completed SOW and October shipment plan; FY 2025 annual report optical alignment module roadmap

classification: Dated management roadmap with commercial qualification uncertainty

probability: 0.45

Conditional: Gross potential salesTWD 80 m Q 4 2026,1,400 m in 2027,5,350 m in 2028,10,100 m in 2029 and 12,600 m in 2030. Deduct 30% overlap with generic reference equipment before weighting.

overlap: 70% of the bounded gross wallet remains incremental. This is Hon. Precision equipment and fixture revenue, excluding ATE instruments, optical engines, lasers, OSAT testing fees and all end-chip value.

cost bridge: 56% gross margin less 16% support/R&D on incremental revenue andTWD 45 m quarterly launch overhead from Q 4 2026. Negative early incremental OP is retained.

timing: Small initial systems from Q 4 2026, qualified systems ramp 2027-2030; shipment is not proof of broad acceptance.

unit bridge: TWD 45 m configured-system invoice proxy; actual ASP/count undisclosed.2030 net conditional 8,820 m equals 196 proxy system invoices annually, not reported bookings.

DELAY

source: Annual report customer concentration, hiring and lower-cost competition; Q 2 cash conversion

classification: Negative conditional execution outcome

probability: 0.25

Conditional: 5% equipment revenue shortfall Q 4 2026,10% during 2027-28 and 6% thereafter.

overlap: Mutually exclusive with qualified-ramp success. Covers the same equipment pool once; it is not an independent demand haircut stacked on additional ramp output.

cost bridge: Lost sales reduce GP at 56% plus 0.5% of equipment sales for underutilization/rework. Additional field-support opex 0.3% of equipment sales remains.

timing: Qualification or acceptance delays, localization startup and customer program slippage.

SOURCE_SCOPE

decision: H 1 order mix 77% AI/HPC/ASIC is not recognized revenue. July deck H 1 net-margin 40.7% is inconsistent with source amounts; use 10,100.517/24,518.966=41.19%. The English share-based-payment note says 183,300 thousand new shares, but capital reconciliation and Chinese original show 18,330 thousand. No target or analyst EPS is used.

FUNDING_AND_MINORITIES

decision: No bank or bond debt is reported at June 30. FullTWD 11,693.695 m dividends plus the opening tax balance are paid in Q 3 cash bridge. Lease claims remainTWD 89.649 m on a renewal assumption. No surplus cash enters value. The 60%-owned component JV is too small for a disclosed profit mix: reserve 0.1%-0.8% of group OP dynamically as a labeled minority allocation, not 40% of the group.

Remaining bounded uncertainties

- Actual machine shipments, SKU ASPs, utilization and per-product gross margins are not disclosed. Invoice equivalents are model proxies; no TAM percentage generates revenue.

- 2027 capacity+50% is the only verified numeric expansion plan. Later output growth and capex are assumptions. Taiwan, China and headquarters expansions must qualify before contributing.

- INS 4 OE completed SOW and planned October shipment are management statements, not confirmed broad customer acceptance. SOW is retained without guessing its expansion. CPC customer identities and economics remain confidential.

- Latest two distinct management presentations were read in full: May 12 andJuly 30. September conference reuse is not fresh guidance. Complete official Q&A text was unavailable; secondary summaries do not become management quotations.

- Financial review carries a limited scope qualification for unreviewed small subsidiaries:4% of assets and approximately 1% of H 1 comprehensive income.

- Q 2 operating expenses includeTWD 166.410 m treasury-transfer compensation. It remains in historical IFRS earnings; future recurring SBC is separately reserved, with no outstanding treasury option duplicated.

- The September static exchange file truncates growth rates to 100.21% and 93.91%, while the announcement rounds to 100.22% and 93.92%. Underlying TWD sales amounts reconcile.

- 40% of HON.CHYUN is owned by outsiders; its future product mix is unknown. Owner OP uses a small expanding reserve. This must be replaced with a component-specific profit bridge when material.

- The 1.4 bn Longshan budget already includes its 331.674 m October mechanical/electrical contract; do not add the same contract again. The broader modeled expansion reserve also funds China, labs and service capability.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] Q 2 Deck | 2026-07-30 | https://www.honprec.com/upload/stock/260730Q2.pdf?a=1 | Archived SHA-256: a4d6d0cbf79242d51c84d66e0b311260b0cc3e03473c0895d160311f52b7662b

[2] Q 1 Deck | 2026-05-12 | https://www.honprec.com/upload/stock/2605012Q1.pdf?a=1 | Archived SHA-256: f93f6099fc7b999abf32df72a6fbb0043c3e0b83a081f19ee0bedaff9facd1fe

[3] Q 1 Financial | 2026-05-11 | https://www.honprec.com/upload/finacne/2026Q1FR.pdf | Archived SHA-256: 66b8fab58dc99130cb8c7d34e08b8def88f4e2dab01ae9cd665fa2361d72df6c

[4] Fy 2025 Financial | 2026-03-10 | https://www.honprec.com/upload/finacne/Consolidated-financial-statements-2025.pdf | Archived SHA-256: f083ac0139dac86f925f58b5ef3981ee3a79dccd190f5df87f75a32dcc000b4e

[5] Agm 2026 | 2026-05-15 | https://www.honprec.com/upload/stock/2026%E8%82%A1%E6%9D%B1%E5%B8%B8%E6%9C%83%E8%AD%B0%E4%BA%8B%E6%89%8B%E5%86%8A.pdf?a=1 | Archived SHA-256: 0f26fe3c78acab9991956e5d43c8ffc3a7dfcb4be853d3bdc7ef30ebcaa5d29d

[6] Q 2 Financial | 2026-07-30 | https://doc.twse.com.tw/server-java/t57sb01?step=9&kind=A&co_id=7769&filename=202602_7769_AI1.pdf | Archived SHA-256: 82d6bfd2f4814c494282e18253aaf0a5797b9042e2864d828efaef0f8240ff4e

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[8] FY 2025 annual report, Chinese original | 2026-05-27 | https://doc.twse.com.tw/server-java/t57sb01?step=9&kind=F&co_id=7769&filename=2025_7769_20260615F04.pdf | Archived SHA-256: d698e5e758ef2a7717a08a2ec96c8a9a51670374fc05f82d0bee325f0ebabbaf

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[11] Issuer monthly sales January-August 2026 | 2026-10-07 access | https://www.honprec.com/finance/ | Archived SHA-256: 7227e85adfbb65ff6349cabe604ccdb7b4d0df5f848972fc39aa4b4122a984a4

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